The Next Stage of Moz:

How a tiny Mom + Son consultancy became the world leader in SEO Software, and our roadmap to being Seattle's next $1 Billion company



Rand Fishkin, CEO & Co-founder, SEOmoz

July 2011

Google Integrates Much More SEO & Social Analytics Functionality in the Short Term





The Web Becomes Less Open





We Fail to Adapt/Grow Fast Enough to Keep Up w/ Organic Marketing Shifts





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Our Reputation Suffers Due to Missteps in Culture, Data Quality or Reliability





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Use of Funds / Growth Opportunities

2011-2012



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Serve a Wider Audience w/ Expanded Product

2011

Organic Search/SEO
(Google, Bing, Yahoo!)

Social Networks
(FB, LinkedIn, Twitter, Google+)

2012

Local Search + Portals
(Google + Bing Maps, Yelp, FourSquare)

Brand + Link Monitoring
(Blogs, Press Releases, Mainstream Media)

Q+A / Social Content Sharing
(Quora, StackExchange, Reddit, SU, Tumblr)

2013+

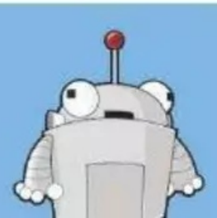
Forums / Q+A
(StackExchange, Quora, Y! Answers)

Video
(YouTube, Vimeo, Self-Hosted)

The Next Big Thing
(Diretories 2.0? Mobile Photo-Sharing?)

Become the Default Productivity + Research Suite for Organic Web Marketers





Whatever organic marketers are using to drive traffic and derive value, we'll help them measure, monitor and improve it with a suite that's simple enough for anyone but powerful enough to support advanced-expert level practitioners.

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2 Year Team Roadmap from 40-100 Mozzers

Product
(Design the Right Software)

User Experience

Design + UI

Subject Matter Experts

Wireframing + Specs

Testing / QA

Engineering
(Build Amazing $#*!)

Broad Web Crawl

Rankings Data

Local Data

Social Data

Front End / Web App

Fresh Web Data

Marketing
(Bring in Customers)

Content/Media/Research

Community Management

PR / Press / Outreach

Events

Paid Acquisition

Operations
(Make Moz Run Smoothly)

Financial + Accounting

Facilities

HR/Mozzer Happiness

Customer Success
(Delight Moz Members)

API & Higher-Tier Sales

Customer Service

Customer Outreach

Retention
(Keep PRO Members PRO)

Quant + Cohort Analysis

Email + On-Site Messaging

Q&A Assistance

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Sales/Marketing Investments

Organic
(Grow Free Traffic)

Paid Acquisition
(PPC, Behavioral, Social, etc)

Branding
(Make Moz Known + Trusted)

Technology Investments

Web Crawl
(Grow Breadth + Freshness)

Fresh Web
(Compete w/ Google Alerts)

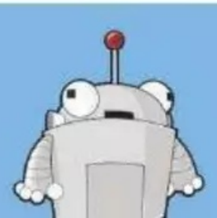
Social Graph
(Map the Major Networks)

Product Investments

Low Price Model
($25/month for lighter use)

Moz Alerts
($10/mth competitor to G Alerts)

Classifying the Web
(Employing Human Raters)



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Potential Acquisitions

GinzaMetrics™

followerwonk

Crowdbooster

getlisted.org

TweetStats

In ur Tweets, Graphin' Your Stats!

AUDIENCEWISE

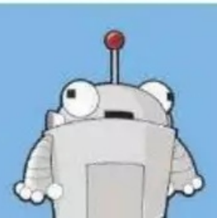
distilled

pure website expertise

SEO GADGET™

ontolo

SEER INTERACTIVE



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Why Moz is Uniquely Positioned to Win the Organic Market



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#1: Passionate community of 300K+ marketers

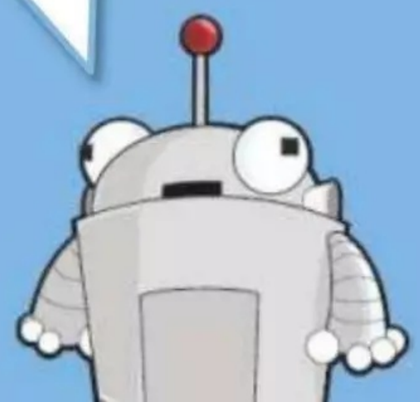
#2: Our technology lead is very hard to catch

#3: Proven record of 2X+ growth for 4 years

#4: Unique, world-changing culture & attitude

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We have a rare opportunity to become Seattle's next $1 billion+ company, and we'd love to have you join us for the ride.



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A Little Moz History (now in color!)

1997 — Rand starts working w/ Gillian building websites for small, local businesses

2004 — Deeply in debt, and failing to get traffic to clients' sites, Rand starts the SEOmoz Blog as part of learning the SEO process.

Nov. 2007 — SEOmoz takes an investment of $1.1M from Ignition Partners & Curious Office

Sept. 2010 — Moz's collection of tools becomes a singular, campaign-based web app. Prices rise to $99 / $499 / $1999 per month.

1981 — Gillian (Rand's Mom) founds the company that will become SEOmoz

2001 — Rand drops out of UW, 2 classes from graduation to work full time w/ Gillian

Feb. 2007 — SEOmoz launches its first subscription software product, "PRO" for $39/month

Oct. 2008 — Linkscape, SEOmoz's web index and link graph, launches. By December, moz is profitable.

July 2011 — SEOmoz is moving from just "SEO" to social media, content marketing, analytics, local and video. To this end, we've acquired "Moz.com."



Did you know? At one point, Rand + Gillian had just under $500K in personal debt. By 2007, it was all paid off, thanks to the magical super-awesomeness of SEO!

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	2007	2008	2009	2010	2011
Software Revenue	$400,000	$1,100,000	$3,100,000	$5,700,000	$12,500,000
Consulting Revenue	$375,000	$300,000	$900,000	$-	$-
Monthly Visits	250,000	400,000	550,000	700,000	1,250,000



More about our history http://www.seomoz.org/blog/the-story-of-seomoz

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How'd We Do That?



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News/Media/PR

SEO

Email

Blogs + Blogging

Research/White Papers

Comment Marketing

Infographics

Social Networks

Online Video

INBOUND MARKETING!

Local Portals

(AKA all the "free" traffic sources)

Forums

Webinars

Social Bookmarking

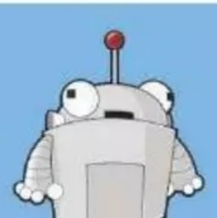
Word of Mouth

Direct/Referring Links

Podcasting

Type-In Traffic

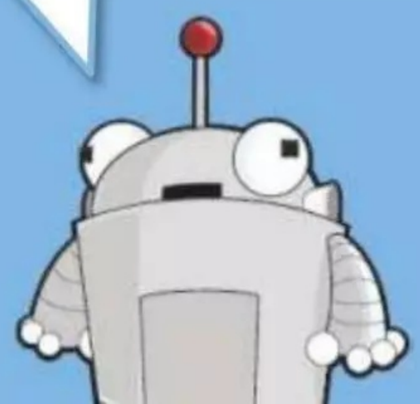
Q+A Sites



Up until 2010, SEOmoz had never spent money directly to acquire customers! (No PPC, no ads, just conferences and content production, aka "sweat marketing") ☺

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That's what we want to help other companies measure + improve through our cloud-based software.

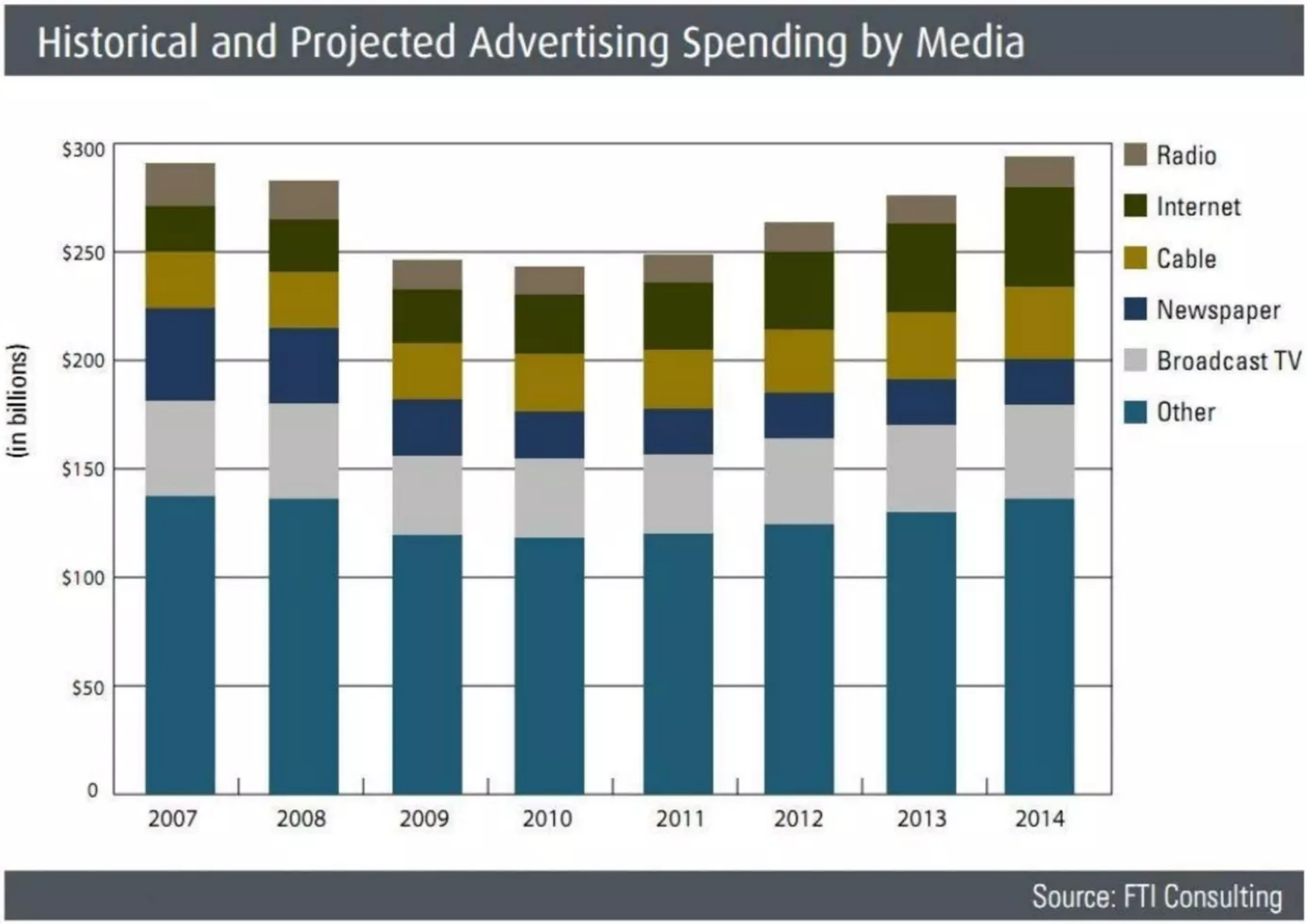


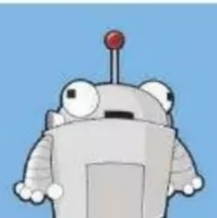
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Macroeconomic Trends that Benefit Moz



Marketing Spend is Still Unbalanced vs. Behavior

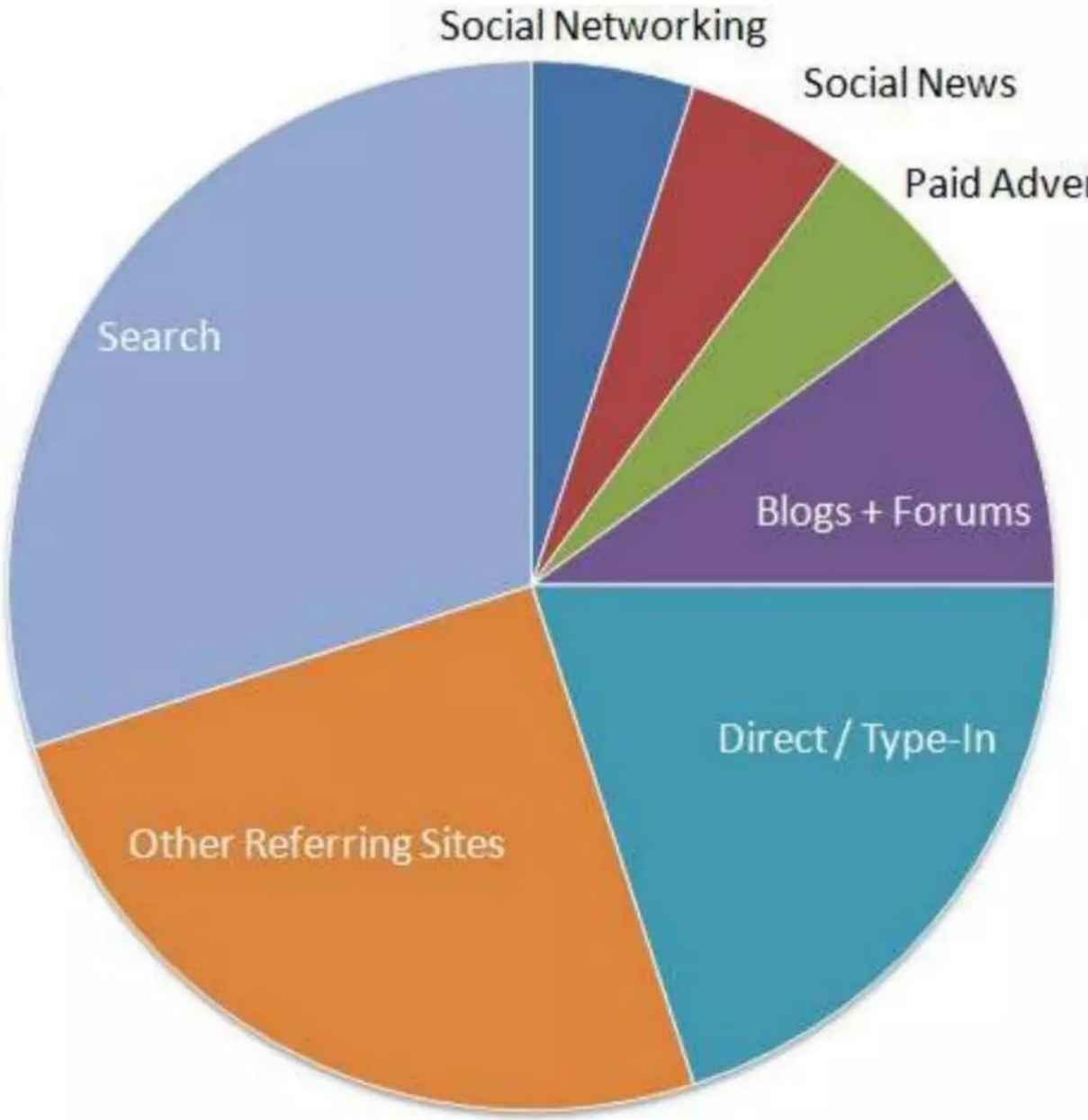




Via http://www.ftijournal.com/images/uploads/Journal_p6-7.pdf

Organic Marketing is Under-Invested

Organic drives 90%+ of traffic
(but garners only ~$5 billion of investment in 2011)



Paid drives <10% of web traffic
(but wins a whopping $31+ Billion of investment in 2011)

Percent of Web Traffic from Various Sources to the Average Website



Web Traffic is driven almost entirely by organic/earned media, yet nearly all of the investment in driving traffic to websites is through paid channels... This is an unsustainable dichotomy.

It's a Data-Driven World and Efficiency is King



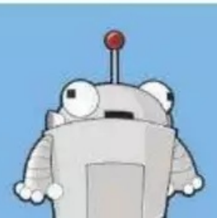
Executives
(Sealevelis HIPPOdronica)



Marketing Managers
(Stuckinnio Middlicom)



Web Marketers
(Organicus Ninjitsu)



These challenges require scalable, high quality software to solve. Very few companies are investing in this space in a serious way, and almost none target the SMB market.

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Problem(s) We're Here to Solve



Organic Web Marketing is Poorly Understood

Invest in Content, Search, Social, Local and/or Participatory Online Channels

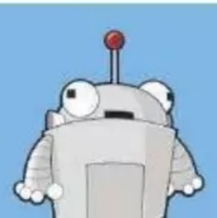
→

Measure Traffic and ROI Effectively

Re-Invest in ROI-Positive Channels

→

Earn Outsized Traffic/Branding/Customer Acquisition Rewards vs. Paid Marketing Channels

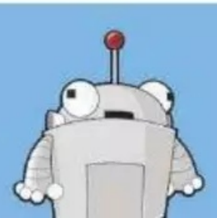


Even those marketers who have an understanding of the process often get lost in the details or mired in the complexity of tying creative to metrics.

The Web Marketer's Weekly Analytics Challenge

Every week (sometimes daily), web marketers need to log in to each of these services (or a suitable substitute) to collect their KPIs:

Many (75%+):	Most (~50%):	Some (~10%):
Google Analytics	Bing Webmaster Tools	SEOmoz
Facebook Insights	Google Alerts	PostRank
Twitter (Topsy/Hootsuite)	Feedburner	FourSquare
Google Webmaster Tools	Bit.ly	Google Local
	Yahoo! Site Explorer	Yelp



Why should a marketer log into 10+ sites/tools just to get the basic numbers they need to measure and improve their campaigns? Moz can (and should) put this all in one place.

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Specific, Painful Web Marketing Tasks

Each of these requires special tools, large amounts of manual labor or custom-built, in-house/agency solutions:

Researching New Opportunities

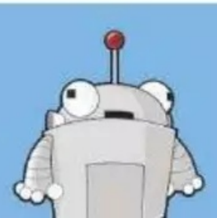
Identifying High-ROI Channels

Prioritizing + Managing Tasks

Finding Errors + Problems

Optimizing Existing Channels

Training New Marketers



These challenges require scalable, high quality software to solve. Very few companies are investing in this space in a serious way, and almost none target the SMB market.

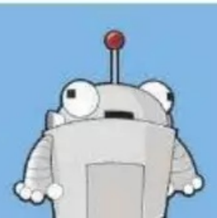
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Our Target Market



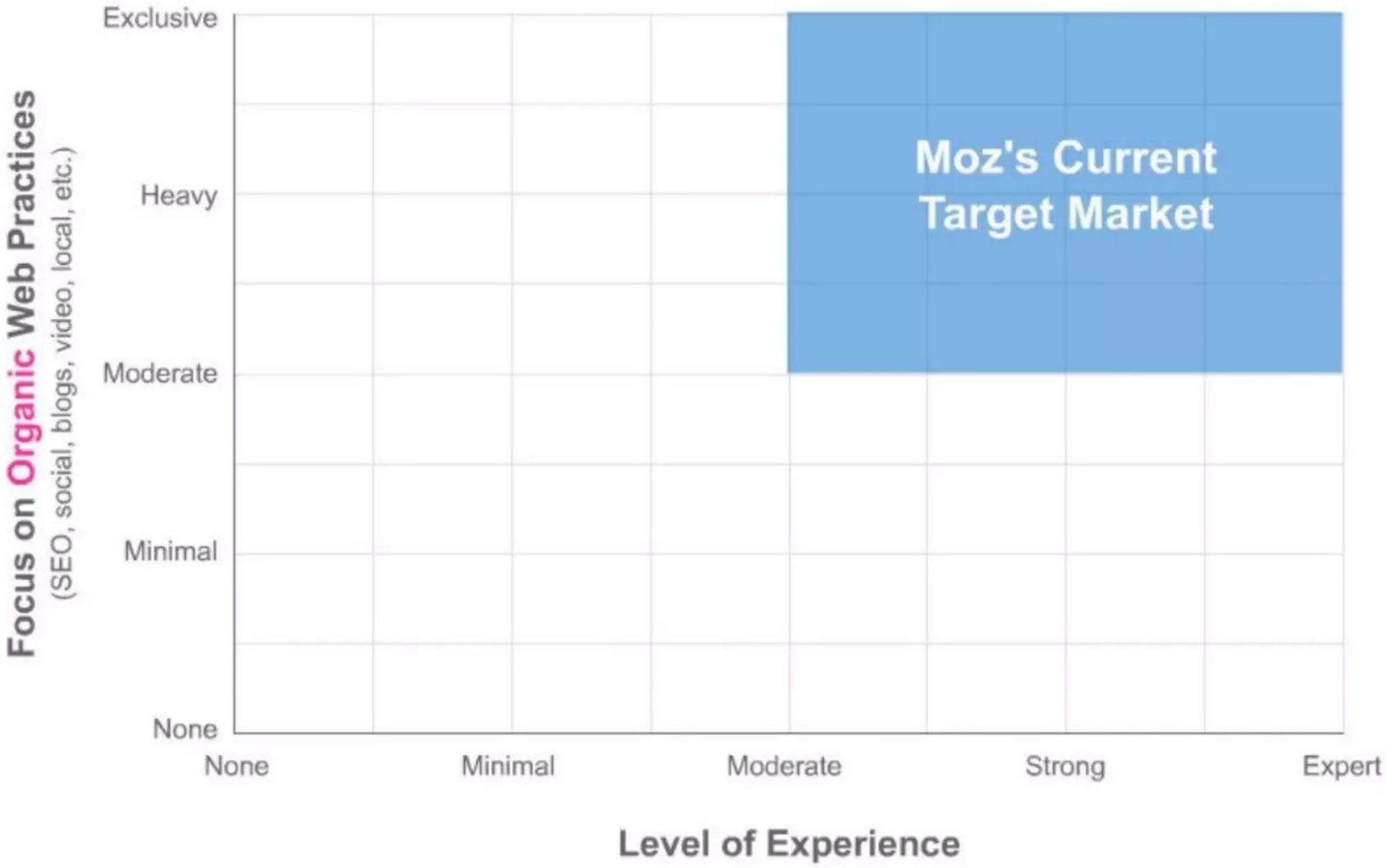
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Today, Moz focuses on just the red "SEO" circles. In the future, many more of these will become customer targets. (BTW - I cheated by using two bubbles for "SEO" – sorry about that Venn Diagram purists!)

We Help Marketers Who Focus on Organic





We believe we've captured ~5% of this market as paying customers and ~15% as registered members

Immediate Customer Targets:

These titles/job functions represent our current (2011-13) targets:

In-House (~55% of current members)	Consultant/Agency (~35% of current members)	Independent (~10% of current members)
Director of Marketing	SEO Consultant	Blogger
SEO Specialist	Organic Marketing Consultant	Social Media Expert
Search Marketer	Search + Social Consultant	Site Owner
Online Marketing Manager	Web Marketing Consultant	Webmaster
Director of Growth		Domainer
Inbound Marketer		



These job titles/functions have the most direct use for our current software subscription.

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Where are We Today?



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2011 Estimated Revenue	$12 - $13 million
Current Revenue Run Rate (June)	~$10.8 million
Number of PRO Subscribers	~13,500
# of New Free Trials / Day	~100
Avg. Customer Lifetime Value	~$900
Implied Customer Life	~9 Months
Avg. Cost of Paid Acquisition	~$100
Avg. Monthly Revenue / Subscriber	~$93

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% of Free Trials Converting to Paid	~57%
Churn Rate in 1st 2 Paid Months	~25%
Monthly Visits to Moz + OSE	~1.25 million
Email Subscribers	~300K
Gross Margins	~82%
Estimated Net Profit in 2011	~$1 million
Staffing Costs	~$650K / Month
Crawling, Serving, Hosting + Processing	~$180K / Month

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Planned Investment Round



Raising:	$20-$25 Million
Founder Equity:	$6-7 Million
Onto Balance Sheet:	$13-19 Million
New Board:	2 Investors (Michelle +1) 2 Insiders (Rand +1) 1 Independent (TBD)

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Business Risks

